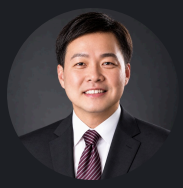
JASON CHOI
REAL ESTATE

FREE GUIDE

COMMERCIAL LEASING GUIDE

Commercial Lease Review — Key Points

What every business owner should understand and negotiate before signing a commercial lease or Letter of Intent in Alberta or British Columbia.



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1. Why This Matters

A commercial lease is one of the biggest financial commitments a business owner makes. Residential tenants are protected by tenancy laws. Commercial tenants are not protected in the same way. In Alberta and BC, your rights come mostly from the lease itself. What you sign is what you are bound to.

> **Key principle**
> There is no “standard” commercial lease. Every term can be negotiated. The landlord’s lease form is written to protect the landlord. Understand every clause, and push back where terms are unclear or unfair. Always have a commercial real estate lawyer review the lease and any Letter of Intent (LOI) before you sign.

2. Key Terms

Term	Meaning
Gross lease	One fixed rent that includes most operating costs. Less common today.
Net / Triple Net (NNN) lease	Base rent plus your share of property taxes, insurance and operating costs. The most common type for retail and industrial space in Alberta and BC.
Base rent	Fixed rent, usually quoted as $ per square foot per year.
Additional rent (CAM / operating costs)	Your share of taxes, insurance, common area maintenance, management fees and shared utilities.
Percentage rent	Extra rent based on your sales once they pass a set level. Common in malls.
Rentable vs. usable area	Usable area is the space you occupy. Rentable area adds your share of common areas. You pay rent on rentable area.
Load factor	The % added to usable area. 2,000 sq.ft. usable with a 15% load factor = 2,300 sq.ft. rentable.
Tenant Improvement Allowance (TI)	Money the landlord contributes to your build-out, usually $ per sq.ft.
Turnkey / As-Is	Turnkey: landlord builds the space to an agreed standard. As-Is: you take it as it is.
Gross-up	Operating costs calculated as if the building were 95–98% full. This can raise your share.
Estoppel certificate	A document you sign confirming the lease status (rent, no defaults). Often needed when the landlord sells or refinances.

SNDA (non-disturbance agreement)	Protects your right to stay if the landlord's lender takes over the property.
Right of First Refusal (ROFR)	Your right to match another offer for nearby space or the property.
Permitted use clause	Defines what business you may run in the space. Narrow wording can limit your business.

3. Term, Start Date and Renewal

- **Term length:** Retail and office leases are often 3–10 years. Industrial leases are often 5–15 years. Longer terms usually bring better rent and TI, but a longer commitment.
- **Commencement date:** Confirm exactly what starts the lease: a fixed date, possession, or completion of improvements.
- **Free rent / fixturing period:** Negotiate rent-free time (often 1–6 months) to build out and open your business.
- **Renewal options:** Ask for one or more renewal options, with the rent method clearly defined (fixed, CPI-based or market rent).
- **Notice deadline:** Renewal notice is often due 6–9 months before expiry. Missing it can end your right to renew.
- **Market rent disputes:** If renewal rent is "fair market value," the lease should say how disputes are settled (appraisal or arbitration).
- **Expansion rights:** Growing businesses should ask for a right of first offer or refusal on nearby space.

> **⚠ Critical**
>
> If you miss a renewal notice deadline, you may lose the right to renew. Put every key lease date in your calendar on signing day, with reminders at least 12 months ahead.

4. Rent and Costs

4.1 Base Rent

- **Yearly increases:** Confirm the increase method (fixed %, CPI or set steps) and calculate total rent for the full term.
- **Free rent:** Confirm whether free rent is truly forgiven or only deferred.
- **Stepped rent:** Lower rent in early years can help a new business, but know the total cost before you commit.

4.2 Additional Rent / Operating Costs

This is often the most disputed and costly part of a lease. Additional rent can add 20–60% or more on top of base rent.

- **Cap on controllable costs:** Ask for a yearly cap (often 3–5%) on costs the landlord controls, like management, cleaning and landscaping.
- **Gross-up:** Check whether costs are grossed up. A building that is 70% full but grossed up to 95% raises your share.
- **Management fee:** Confirm the % (often 3–5%) and whether it is on top of operating costs.
- **Capital repairs:** Resist paying for major repairs like a new roof, HVAC replacement or structural work. These should be the landlord's cost.
- **Audit right:** Ask for the right to audit the landlord's yearly operating cost statement.
- **Year-end reconciliation:** Confirm when the yearly adjustment happens and how far back it can go.

> **Ask for these in every net lease**
> • The last 2–3 years of actual operating costs before you sign.
> • A cap on yearly increases in controllable costs.
> • Exclusion of capital repairs, financing costs, leasing commissions and landlord overhead.
> • A yearly audit right, with a refund if overcharges pass a set amount.
> • A limit on the gross-up, or no gross-up of vacant space.

4.3 Property Taxes

- **Your share:** In a multi-tenant building, you usually pay a share of the whole property's taxes based on your area.
- **Reassessment:** A sale or redevelopment can raise taxes. Try to limit increases caused by a sale.
- **Purchases:** Alberta has no land transfer tax (only land title fees). In BC, buying commercial property triggers Property Transfer Tax.

4.4 GST

- **Commercial rent:** 5% GST applies to commercial rent in Alberta and BC. GST-registered tenants can usually claim input tax credits. Confirm with your accountant.
- **New buildings:** GST applies to the sale of new commercial property.

5. Space, Measurement and Use

- **Check the size:** Do not rely only on the landlord's number. For large commitments, have the space measured to BOMA standards.
- **Load factor:** Ask the landlord to show how the rentable area was calculated.
- **Floor plan:** The lease should include a plan showing the exact boundaries of your space.
- **Permitted use:** Make it as broad as possible so you can add products or services later.

- **Exclusive use:** In a plaza, ask that the landlord not lease to a direct competitor.
- **Hours:** Check for required or restricted opening hours.
- **Hazardous materials:** Check any limits on chemicals or materials your business uses.

6. Improvements and Restoration

- **TI amount:** TI is usually $ per sq.ft. Longer terms usually justify a higher TI.
- **How TI is paid:** Up front, in stages, or as free rent. Get it in writing.
- **Unused TI:** Ask whether unused TI can be credited to you.
- **Who owns improvements:** Improvements usually become the landlord's property. Negotiate for special or costly items.
- **Restoration at the end:** The landlord may require you to remove improvements and restore the space. This can cost tens of thousands of dollars. Agree in writing at signing what must be removed.
- **Approvals:** Most leases require written approval before any changes. Skipping approval can lead to restoration costs or default.

7. Assignment, Subletting and Selling Your Business

If you may sell your business, restructure or leave early, these clauses are critical.

- **Landlord consent:** Assignment usually needs landlord consent. Ask that consent "not be unreasonably withheld, conditioned or delayed."
- **Release:** Unless released, you may stay liable after assigning the lease. Ask for a release once the landlord approves the new tenant.
- **Change of control:** Selling shares of your company may count as an assignment. Ask for exceptions for affiliates and internal reorganizations.
- **Recapture right:** Some leases let the landlord cancel the lease when you ask to assign. Resist or limit this.
- **Subletting:** Also usually needs consent. Limit any clause that makes you share sublease profit.

> **⚠ Critical for business owners**
>
> If you might sell your business during the lease, the assignment and change-of-control clauses are among the most important in the whole lease. Review them with a commercial lawyer before signing.

8. Default, Guarantees and Disputes

- **Events of default:** Make sure the list of defaults is not too broad.

- **Cure periods:** Ask for reasonable time to fix problems — for example, 10 business days for late payment and 30 days for other issues.
- **Personal guarantee:** Landlords often ask owners to personally guarantee the lease. Try to limit it to a dollar amount or a time period (for example, 12–24 months of rent).
- **Landlord's duties:** Spell out who repairs the roof, structure, HVAC and common areas.
- **Rent reduction:** If essential services fail for a long time, ask for a rent reduction.
- **Disputes:** Consider mediation or arbitration before going to court.

9. Insurance and Liability

- **Your insurance:** Most leases require liability insurance (often $2M–$5M), insurance on your improvements and contents, and business interruption insurance.
- **Additional insured:** The landlord is often named on your liability policy. Get a certificate before you move in.
- **Waiver of subrogation:** Ask for a mutual waiver so neither side's insurer sues the other for insured losses.
- **Indemnity:** Avoid broad indemnities that make you responsible for things you did not cause.

10. Special Clauses to Watch

- **Demolition clause:** Lets the landlord end the lease with notice to redevelop. If you must accept it, ask for compensation for your improvements and moving costs.
- **Relocation clause:** Lets the landlord move you to other space. Resist it, or require equal or better space, no cost to you, and 90–180 days' notice.
- **Force majeure / pandemic:** Ask for rent relief if government orders stop or seriously limit your business.
- **Environmental:** You should not be responsible for contamination that existed before you moved in. A Phase I ESA is wise for industrial and some retail uses.

11. The Letter of Intent (LOI)

An LOI is often called "non-binding," but it sets the business terms of the whole deal. Negotiate it carefully.

Your LOI should clearly state

- Unit number and confirmed rentable area
- Start and end dates, free rent and fixturing period
- Base rent per sq.ft. and yearly increases
- Estimated operating costs for this year
- TI amount and how it is paid
- Renewal options and notice dates
- Permitted use and any exclusive use
- Assignment and change-of-control terms
- Parking (number, type, cost)
- Condition of the space (as-is, turnkey or landlord's work)
- Personal guarantee terms
- Which parts of the LOI are binding

12. Tenant Checklist

☐	Before you sign
☐	Hire a commercial real estate lawyer before signing anything, including the LOI.
☐	Get the last 2–3 years of actual operating costs.
☐	Confirm the rentable area (BOMA measurement for large spaces).
☐	Calculate your total monthly and yearly cost: base rent + additional rent + parking + GST.
☐	Calendar every key date: possession, rent start, renewal notice, expiry.
☐	Make sure the permitted use fits your current and future business.
☐	Review assignment and change-of-control terms if you may sell your business.
☐	Understand restoration and demolition clauses.
☐	Speak with your insurance broker before possession.
☐	Confirm GST registration for you and the landlord.
☐	For industrial or older properties, consider a Phase I Environmental Site Assessment.
☐	For long leases, ask for an SNDA from the landlord's lender.
☐	Negotiate a limited personal guarantee, not an unlimited one.

Looking for commercial space, or renewing a lease?

I help business owners find space, compare total occupancy costs and negotiate lease terms in Calgary and across Alberta and BC. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

This guide is for general information only and is not legal advice. Commercial leases are complex legal documents. This guide does not cover every clause or issue. Always have a commercial real estate lawyer licensed in your province review any lease, Agreement to Lease or Letter of Intent before you sign. In Alberta and BC, most commercial tenancy rights come from the lease itself; provincial statutes (such as BC's Commercial Tenancy Act) provide only a limited framework. Prepared by Jason Choi, REALTOR®, First Place Realty. Information believed accurate but not guaranteed. 2026.